

go to any private company and purchase insurance, instead of being covered by the government. For people who are fortunate enough, their health insurance is paid for, at least partially, by their employer. This is a tremendous benefit, because health insurance can be very expensive and the costs are rising quickly. In 2020, the average annual premium was \$7,470 for individual coverage and \$21,342 for family coverage.⁶⁰ You read that correctly: the average family plan will cost you \$21,342 a year, or \$1,779 a month, if your employer does not provide you with health insurance.

Table 10.2 Health insurance monthly premiums in 2020

Type of insurance plan	Average monthly premium	Average portion paid by employer	Average portion paid by employee
Individual plan	\$623	\$519	\$104
Family plan	\$1,779	\$1,312	\$467

Table 10.2 shows the average monthly premiums for individual and family health insurance plans in the U.S., the portion employers typically cover, and the portion their employees are responsible for. If a person receives health insurance through an employer, the employer will typically cover 83% of the cost per month; if a person is covering their whole family through their employer-sponsored health insurance, they can expect the employer to pay 74% of the total cost.

If your employer does not cover your health insurance and you need to pay for it on your own, it will cost you just under

60 "2020 Employer Health Benefits Survey," Kaiser Family Foundation, October 8, 2020, <https://www.kff.org/report-section/enbs-2020-section-1-cost-of-health-insurance/>.